countries such as Canada and Australia, the war has been more a hampering than an accelerating influence in India. I agree, however. . . that India has sufficient potential capacity to supply her basic manufactured needs.' Such statistical evidence of industrial activity as is available supports this view, and indicates that if pre-war progress could have been maintained at the old rate it would have led not only to the establishment of new industries, but also to far greater production as a whole.*

What the war has demonstrated beyond a shadow of a doubt is India's capacity to convert this potential into actuality with remarkable speed, given the opportunity to do so. Functioning as an economic unit, she has accumulated large capital assets

**Mr. J. R. D. Tata, speaking in London on May 30th, 1945, also denied that the war had enabled India materially to expand her industries and industrial capacity. 'There may have been isolated cases of expansion, but on the whole, when armament factories and other specialized industries connected with the war have been excluded, there has been none. A number of projects would have been started if there had been no war. I can speak from personal experience of projects that have been abandoned because of the impossibility of obtaining*